### 12.9 Connection to Options Market Making

**Remark 12.19.** These ideas matter directly for options traders. The option sits on top of an underlying market structure that includes ticks, queue priority, contract multipliers, matching rules, clearing, and settlement mechanics. To make prices in options well, a market maker has to understand all of those layers.

**Remark 12.20.** In other words, options pricing is not just about formulas. It is also about market structure: how contracts trade, how they clear, how they settle, and how quickly one can react when the underlying market changes.

## 13 Futures Ladders and Options Basics

In many listed commodity and futures markets, options do not each have their own completely separate underlying instrument. Instead, multiple option expiration months are mapped onto a smaller set of futures contracts. This is why traders need to understand not only the option month itself, but also which futures month that option is tied to.

### 13.1 What a Futures Ladder Shows

**Definition 13.1** (Futures Ladder)**.** A **futures ladder** is a screen that shows the current bid prices, ask prices, and associated sizes for a specific futures contract month.

**Remark 13.1.** Each ladder corresponds to one futures expiration month. In the example considered here, the available futures contracts are January, March, and June.

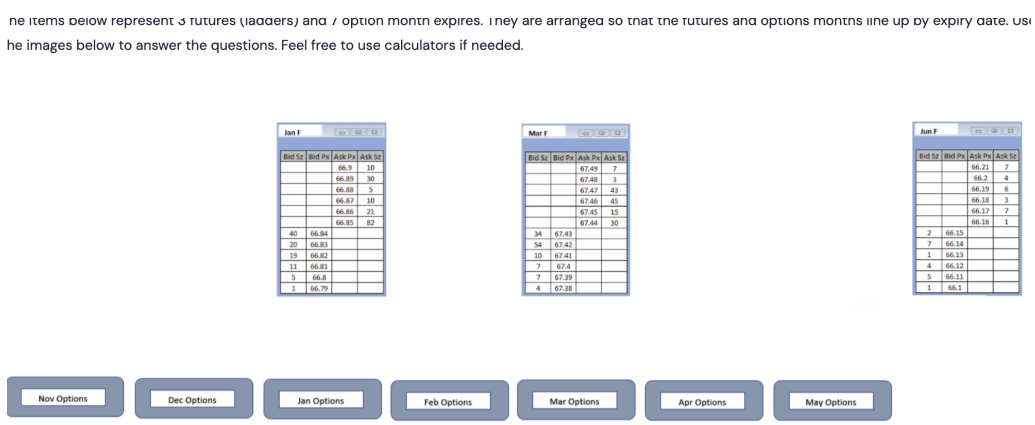


**Figure 13:** Example of several futures ladders lined up with a sequence of option expiration months. The key idea is that the option months map onto the listed futures months by expiry order.

### 13.2 How Option Months Map to Futures Months

**Remark 13.2.** The important idea is that option months and futures months are arranged by expiration date. Since futures are listed less frequently than options, several option months may share the same underlying futures contract.

**Remark 13.3.** In the example, there are 7 option months: